

Hindustan Copper Limited
Corporate Office
Kolkata

SCY/CMD/DELE/2014

22nd August, 2014

OFFICE ORDER

Sub: Revised Delegation of Powers of CMD, HCL

The Board of Directors in their 351st meeting held on 13th August, 2014 have considered and approved the revised delegation of Powers of Chairman-cum-Managing Director (CMD), Hindustan Copper Limited (HCL).

A copy of the revised delegation of powers of CMD, HCL, as approved by the Board, is enclosed and shall be effective from 13th August, 2014.


(C S Singhi)
GM & Co Secretary

To

All Functional Directors
All Unit Heads
All GMs at CO

Delegation of Powers to Chairman-Cum-Managing Director, Hindustan Copper Limited

In supersession of all existing orders on the subject, the following powers will be exercised by the Chairman-cum-Managing Director (CMD), Hindustan Copper Limited (HCL):-

1. Full powers of the Board of Directors for managing the business of the Company, except for the items listed in the Appendix, which would require approval of the Board of Directors.
2. Full powers to institute, defend, compound or abandon legal proceedings or refer claims to arbitration, observe and perform the awards and execute powers of attorney and sign vakalatnamas, mukhtarnamas, plaints, written statements and all other documents and papers in connection with cases in Law Courts, etc. for and on behalf of the Company.
3. Sub-delegate the powers conferred upon him to other Directors, Heads of Departments and other Officers under him, in consultation with Director (Finance).
4. Full powers to execute, on behalf of HCL, contracts, collaboration agreements, general/special instruments including joint undertakings, service agreements/bond(s), indemnity/guarantee bond(s) and deeds in respect of or connected with sale/lease/license, mortgage, hypothecation, pledge or other deed(s) of a legal character of whatever description, powers of attorney, to enforce guarantee(s) or any other legal rights, to incur legal expenses and to act as Agent of the Company for any purpose whatever relating to the Company's business.
5. Full powers to form Selection Board / Committee and to make appointments to the posts created by the Board of Directors and to take such disciplinary actions as may be required under the rules of the Company.
6. Full powers for posting employees to any projects/offices, sending employees on tours abroad including training in foreign countries subject to the prevailing directives of the Government in this connection.
7. Full powers to fix prices for the Products of HCL in consultation with Director (Finance) of the Company.
8. Full powers to approve all estimates of Capital and Revenue nature.
9. In between the Board Meetings, the CMD may, within the ambit of operational necessity arising out of - (i) natural disasters, plant emergency, accidents and (ii) unforeseen breakdowns, assume full powers of the Board. However, a report is to be made to the Board as soon as practicable thereafter.
10. Full powers to make investment of temporary surplus or other funds available with the Company subject to the policy as approved by the Board.

11. Full powers to open, operate and close Bank Accounts of all types e.g. current, cash credit, collection, overdraft, escrow, etc., in the name of the Company in consultation with Director (Finance).

12 Full powers to waive liquidated damages / penalty in cases of late delivery / non-performance of contract(s). However, waiver exceeding Rs.5 crore to be reported to the Board.

13. In regard to matters having financial implications or concerning the financial policy of the Company, the delegated powers will be exercised in consultation with Director (Finance) of the Company. However, When the regular Director (Finance) is required to act as CMD or when the Director (Finance) is temporarily on leave/tour etc., delegated powers to CMD will be exercised in consultation with ED (Finance) or senior most executive available in the Finance discipline in Head Quarter below Director (Finance), in all those cases wherever, as per the Delegation of Powers to CMD such powers are to be exercised in consultation with Director (Finance).

The following powers will be exercised by the Chairman-cum-Managing Director, Hindustan Copper Limited with the approval of the Board of Directors

1. Budget

- 1.1 Budgets for Capital and Revenue expenditure.
- 1.2 All long-term plans and programs.
- 1.3 Any alterations in the approved time schedules for projects/schemes sanctioned / approved by Board/Government.

2. Contracts

- 2.1 To authorize award of contracts of capital nature including purchase of equipment, plant & machinery or other items of capital nature exceeding **Rs.25 crore** in each case.

(Note: Mine excavation / development contracts shall be considered in capital category)

- 2.2 To authorize award of contracts (excluding consultancy contracts and contracts of capital nature) exceeding **Rs.25 crore** in each case.
- 2.3 Any major alteration of or departure from the terms of contracts resulting in variation in cost by more than 10% or exceeding **Rs.2.5 crore** in each case.
- 2.4 Acceptance of disputed claims exceeding **Rs.25 lakh** in each case subject to overall limit exceeding **Rs.1 crore** per annum.
- 2.5 Agreement involving foreign collaboration/foreign consultancy proposed to be entered into by the Company, irrespective of the consideration involved.
- 2.6 Any repeat order / extension of a contract or commitments exceeding the maximum quantity and / or value of the original order / contract.
- 2.7 To authorize award of any Consultancy Contract:
 - a. On PSU Consultancy firm, Educational Institute(s) of national repute and Government Bodies above **Rs.5 crore**, in each case.
 - b. on Consultancy firms other than PSU's and Government Bodies, above **Rs.1 crore** in each case.
- 2.8 To authorize award of contract on Single Tender basis for Proprietary items (Original Equipment Manufacturers) above **Rs.5 crore** in each case.
- 2.9 To authorize award of contract on Single Tender basis for items other than Proprietary in nature:

- a. on PSU's and Government Bodies/Organizations, above Rs.15 crore in each case;
- b. on Organizations other than PSU's and Government Bodies/Organisations above Rs.1 crore in each case.

3. Personnel

- 3.1 Policies and regulations relating to recruitment, promotion, other conditions of service, disciplinary actions and changes therein.
- 3.2 Changes in wage structure and scales of pay in force.
- 3.3 Policy matters relating to allowance and bonus.
- 3.4 Creation/abolition of any post in E-9 grade.

Note: The provisions of para 4 will apply to officers category only.

4. Write-off

- 4.1 To write-off any items of stores, equipment, tools, plants, other assets and materials other than raw materials and finished and semi-finished products above the written down book value of Rs.25 lakh in each case.
- 4.2 To write-off any shortage in finished and semi-finished goods more than Rs.50 lakh per annum for each material in excess of prescribed norms, if any.
- 4.3 To write-off shortage of cash exceeding Rs.25, 000 in each case.
- 4.4 To write-off book debts exceeding Rs.1 lakh in each case and write-off of an amount in excess of the overall annual limit of Rs.50 lakh per annum.
- 4.5 To write-off shortage in raw materials over 50% in excess of the prescribed norms and exceeding the maximum monetary value of Rs.10 lakh in excess of the norms in each case.
- 4.6 To write-off demurrages/wharfages/Port charges, etc. exceeding Rs.25 lakhs in a year for each unit.

5. Acquisition of Companies

Acquiring of shares, stocks or securities of any Company or Undertaking.

6. Commercial

Major Policy matters relating to works, contracts, exports, imports and matters generally having long term impact or major significant effect on the operations of the Company.

7. General

- 7.1 Sale or alienation in any form of any immovable property vested in the Company.
- 7.2 Grant of compensation to other than Company employees arising from any cause, above **Rs.5 lakh** in each case.
- 7.3 Any grant or donation or ex-gratia payment not arising from recognized rules relating to amenities and welfare over **Rs.50,000** in each case subject to a ceiling of **Rs.5 lakh** in a year.
- 7.4 Settlement of claims against the Company from any cause not provided for in any other item of these rules exceeding **Rs.5 lakh** in each case.
- 7.5 Allotment of land to outside parties in relaxation of principles and conditions approved by a higher Authority.
- 7.6 Grant of honorarium and/or reward to any Company employee over **Rs.10,000** in each case and exceeding **Rs.10 lakhs** for the year except as provided for in the Suggestion Box Scheme, and except any reward as provided for in an approved reward scheme.

8. Borrowing

- 8.1 Power to borrow monies, otherwise than on debentures, vested with the Board of Directors, as provided in the Companies Act is delegated to the Chairman-cum-Managing Director and the Director (Finance) of Hindustan Copper Limited, jointly and severally, by which the powers may be exercised by them through the authority of this resolution of the Board, in the following manner, as required by Companies Act.
- 8.2 The Chairman-cum-Managing Director and the Director (Finance) may borrow from the consortium banks/other banks by way of overdraft or cash credit or otherwise, upto an aggregate of **Rs.250 crores** at any point of time and in general, for future, to negotiate, and finalize increase in the overall borrowings towards working capital funds/quasi funds either from any single bank/consortium of banks, other Public Sector Undertakings/financial institutions like IDBI/ICICI etc.
- 8.3 Provided however, that the total amount of borrowing at any point of time including cash credit arrangements with the banks and borrowing from Public Sector Undertakings/financial institutions etc., excluding loan from Govt. of India and interest accrued and outstanding thereon, will not exceed **Rs.250 crore** but excluding the loans/borrowings obtained with specific approval of the Board of Directors.
- 8.4 Chairman-cum-Managing Director or Director (Finance) of the Company are hereby authorized, jointly and severally, to finalize/approve necessary security documents as may be required by the State Bank of India and other consortium banks, Public Sector Undertakings, Financial Institutions etc., for this purpose and Chairman-cum-Managing Director and Director(Finance) are also

authorized, jointly and severally, to execute the said security documents including DP notes etc. and affix the common seal of the Company thereto in accordance with the provisions of Article 75 of the Articles of Association of the Company.